Detecting Illicit Bitcoin Transactions with Label-Consistent Graph Stacking

BT4012 In-class Kaggle Competition 2026 · e1304439 · Code: github.com/emmyyyli/BT4012-Kaggle-Competition (submission notebook `e1304439.ipynb`)

1. Introduction

Criminals use Bitcoin to launder money and pay for illegal goods. The competition asks for a model that ranks Bitcoin transactions by their probability of being illicit. The data is a Bitcoin transaction graph: each node is a transaction described by 165 anonymised features, and each edge is a payment flow, where an output of one transaction is spent by another. Models train on time steps 1–35 and are scored by ROC-AUC on the later steps 36–49. This mirrors anti-money-laundering (AML) work: investigators need a risk ranking that catches illicit flows early without flooding them with false alarms.

The problem has three properties, and each one shaped the approach:

- **Scarce, imbalanced labels.** Only 31,235 of 141,772 training transactions are labeled, and 11.7% of those are illicit. Supervised learning therefore uses labeled rows only, with balanced class weights.
- **Temporal drift.** The test period lies in the future; a classifier separates training rows from test rows with AUC ≈ 1.0 from the features alone. Validation is therefore always forward in time, training is weighted toward recent steps, and `time_step` is never a model input.
- **Graph structure with missing context.** Neighbouring transactions are informative, but in the test period most neighbours have no features. Every graph feature is therefore built from information that exists in the same form at training and prediction time.

The final model is a two-stage LightGBM stack. A first model scores each transaction from its own features; a second model adds summaries of its neighbours in the payment graph. These summaries use only *labeled* neighbours, the only transactions with features in both the training and test periods, so they are computed the same way at training and prediction time. No transaction's own label is used to build its features. The model raised the public ROC-AUC from 0.94246 (first submission) to **0.97196**.

2. Methodology

2.1 Data preprocessing and feature engineering

Audit. The supplied features have no missing values and no duplicate IDs. Though anonymised, they form two blocks: features correlate more within `feat_1`–`feat_93` and within `feat_94`–`feat_165` (mean |r| 0.12 and 0.07) than across them (0.04), and the second block drifts far more. We label them "local" and "aggregated" (the usual layout of transaction-graph data, where the second block summarises the neighbourhood); the data supports two blocks, not this meaning, and the final model uses all 165 features. Rows labeled `none` (110,537) were treated as **unlabeled, not licit**. Using them as pseudo-labels lowered time-forward AUC by about 0.03, because unlabeled transactions are not a random sample of labeled ones. `time_step` is used only to split data. As a feature it lowered long-horizon AUC (0.878 vs 0.884), and trees cannot extrapolate a counter to unseen steps.

The decisive finding: the test period has blank neighbourhoods.

- **How it was found:** matching edge-list IDs to the feature tables left 46,668 graph nodes with no features, all in steps 36–49. Test rows are scored against labels, so they are that period's *labeled* transactions; the blank nodes are its unlabeled ones, which in training appear as `none` rows *with* features.
- **What it means:** 65.6% of test-node edges lead to a featureless node, against 0% in training, so the same neighbourhood looks complete in training and mostly blank at test.
- **Why all neighbours cannot be used:** a model that learns from complete neighbourhoods meets different inputs at test time. Our GraphSAGE blend, which read all neighbours, dropped the public score from 0.94246 to 0.91059.
- **How it is managed:** graph features use only labeled neighbours, which have features in both periods, and two-hop walks pass *through* blank nodes to reach labeled ones (below).

Feature drift. Medians of 19.4% of the aggregated features shift by more than one interquartile range from training to test, against 9.7% within the training period. Local features barely move (1.1%). An aggregated-only model scored 0.880 on Kaggle. Removing the five most-drifted features was neutral (0.94365 vs 0.94417), and correlated-cluster ablation, SHAP-stability subsets and adversarial feature dropping gave no gain, so all 165 were kept.

Label-consistent graph features.

Labeled transactions exhibit homophily: a labeled neighbour of an illicit transaction is illicit 57.4% of the time, against an 11.7% base rate. A transaction's *neighbours* are the transactions linked to it by a payment, either funding it (incoming) or spending its outputs (outgoing); each link is one *hop*, so two-hop neighbours are reached through an intermediate transaction. Graph context is built only from labeled neighbours, the only transactions with features in both periods, and never from a transaction's own label, so coverage is similar in training and test (Figure 1). Two-hop walks may pass *through* featureless intermediates, which extends context to 96.4% of test rows. Features, each added as a separately tested step:

1. **Neighbour scores:** mean, max, incoming-mean and outgoing-mean of stage-1 predictions over labeled neighbours.
2. **Neighbourhood structure:** in/out degree, plus the number and share of labeled neighbours.

3. **Neighbour feature statistics:** mean, max, std, incoming-mean and outgoing-mean over labeled neighbours of the 25 most influential supplied features, ranked by test-row SHAP of the base model (no labels used).
4. **Two-hop context:** walk-weighted means of stage-1 scores and the same 25 features over labeled nodes two hops away (first 5 features, later all 25).
5. **Payment-chain shape** (label-free, full edge list): longest payment path into and out of the transaction, and the length of the unbroken *peeling chain* around it (one funder, at most two spenders), a classic laundering pattern. Each time step is exactly one connected component, so component-level counts were excluded: they would encode the time step.
6. **Contrast features:** for each of the 25 key features, the transaction's own value minus the mean over its labeled neighbours.

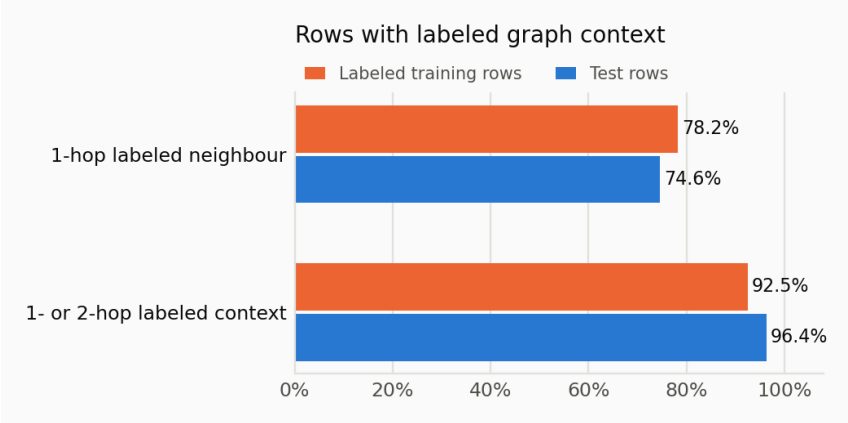


Figure 1. Share of rows with labeled graph context. The one-hop rule keeps training and test comparable; two-hop walks through featureless nodes reach 21.8% of test rows that have no labeled neighbour (14.3% in training).

2.2 Model development and validation

Base learner. Both stages use LightGBM, a gradient-boosted decision-tree model. It builds trees one after another, each correcting the errors of those before it, and sums their outputs into an illicit probability. Settings were chosen by an Optuna search (40 trials) scored on forward validation windows. The search chose **500 small trees with at most 9 leaves each**: every tree splits transactions into at most 9 groups, so it can only capture simple feature interactions, and a low learning rate (0.025) makes each tree a small correction. Every search, including XGBoost and CatBoost, preferred such shallow trees, because simpler patterns survive the drift into the test period better. The other tuned settings (minimum leaf size, feature and row sampling per tree, L2 penalty) add the same kind of regularisation. Because stage 2 has twice as many columns (330), its column share is halved so each tree still sees about 106 columns. Illicit rows are upweighted so both classes count equally (about 7.6× per illicit row); ROC-AUC needs no decision threshold, so no resampling was needed.

Stacking without leakage. The model is trained in two stages:

1. **Stage 1** scores every transaction from its own 165 features. No training row may be scored by a model that has seen its label, so steps 1–35 are split into five blocks of consecutive steps and each block is scored by a model trained on the other four. Test rows get the average of those five models' scores, so both are scored the same way.
2. **Stage 2** adds the graph features of Section 2.1, built from these scores, and refits LightGBM on all of them.
3. **Weights:** every training row counts more if it is recent ($2^{(t-35)/14}$: step 35 counts 1, step 21 counts 0.5) and if it resembles the test period. The second weight comes from a classifier trained to tell training rows from test rows: rows it mistakes for test rows count more ($\sqrt{p/(1-p)}$), capped to 0.2–5). A few time-trend features let it separate the periods perfectly, so the 30 most separating features are hidden from this classifier only, and the weight reflects similarity beyond the date.
4. The whole pipeline runs with 10 random seeds, and their predictions are averaged.

Validation. The original 4-fold time-series CV averaged 0.977, while Kaggle gave 0.942. Single-holdout scores also moved by up to 0.02 between random seeds, which was larger than most of the effects being tested. We therefore built a harness (`src/evaluation.py`):

- five forward windows (train ≤ t, validate a later block), each with five seeds;
- seed-averaged ROC-AUC and PR-AUC, per-step AUC, and a paired bootstrap against a reference;
- adoption rule: the mean must improve and no window may lose more than 0.01.

It had one limitation. The long windows (≈0.90 AUC) match the test's difficulty but ranked models in the *opposite* order to Kaggle. The short windows (≈0.996) ranked them correctly but are too close to the ceiling to resolve gains of 0.01. Local validation therefore served as a correctness check, and the public leaderboard (30% of the test set) acted as the final arbiter. To limit overfitting to it, every submission tested one stated hypothesis against a fixed reference, and a switch required ≥ +0.003 (about two paired standard errors). Late in the project, the most recent window alone (train ≤28 → validate 29–35) was found to rank similar models like Kaggle (Spearman +0.81 over 24 submissions), and was used to screen ideas without spending submissions; it failed for a very different model (Section 3).

2.3 Model exploration and final strategy

Table 1. Key models explored. "Local evidence" is the result on the time-forward validation windows, compared with the best model at the time each idea was tested (a number is the change in mean ROC-AUC unless the cell says otherwise).

Approach	Local evidence	Public AUC	Decision
LightGBM + `time_step` + `in_degree` (first submission)	—	0.94246	baseline
Tuned shallow LightGBM, 165 features	+0.010 vs deep LightGBM; beat RF, XGBoost, CatBoost	0.94417	base learner
Aggregated features only	best on long windows	0.88023	rejected (drift)
GraphSAGE blend; self-supervised graph embeddings	−0.04 to −0.05	0.91059	rejected (blank neighbours)
Pseudo-labeling `none` rows	−0.03	—	rejected
Recency weights (half-life 14)	≈+0.001 short windows	0.95066	adopted
Labeled-neighbour stacking	failed local rule	0.95389	adopted
+ structure & neighbour features / + recency		0.95871 / 0.96342	adopted
+ two-hop context / + 25-feature neighbour statistics		0.96668 / 0.96814	adopted
3-hop score propagation	best long-window variant	0.96108	rejected
Blends (non-graph; four graph models)		0.95328 / 0.96686	rejected
Graph shape: direction, hubs, centrality, extra stacking round	flat on short windows	0.9670–0.9679	rejected (within noise)
Forward-only stage-1 scores for training rows	flat on short windows	0.96503	rejected
+ peel-chain shape	flat on short windows	0.96858	pick 2
+ covariate-shift importance weights	flat on short windows	0.9702	adopted
+ two-hop means over all 25 features	flat on short windows	0.97097	adopted
+ stage-2 column sampling matched to stage 1	flat on short windows	0.97190	adopted
Stage 2 pruned to the 151 features carrying 95% of influence	seed spread 0.0054 → 0.0016	0.97176	pick 2
Stage 2: fewer columns, stronger L2, Random Forest blend, ranking loss	flat or worse	0.97131 / 0.97136 / — / —	rejected
Re-tuned settings, more capacity (21 leaves, 878 trees)	+0.0006 / +0.0010 short windows	0.96207	rejected
+ contrast features (**final**)	+0.00006 (recent window)	**0.97196**	final (pick 1)

Two patterns decided the final strategy:

- **Added complexity without new information never helped.** This covers the extra model families, blends with non-graph models, deeper propagation and an extra round of collective classification.
- **New information, computed the same way in training and test, did.** This covers neighbours, their features and two-hop reach. Shifting training toward the test period helped independently: recency weighting twice, test-similarity weighting once more (+0.0016, within noise). Once labeled one- and two-hop context was in place, further descriptions of graph *shape* (direction, centrality, hubs, chain) moved the score by ≤ 0.0006; extending two-hop *reach* to all 25 features still added +0.0008.
- **Consistent *definitions* matter; matching noise levels does not.** Training-row neighbour scores are more accurate than test-row ones (out-of-fold AUC 0.997 vs 0.985 forward-only). Training stage 2 on noisier forward-only scores *lowered* the public AUC by 0.003: accurate scores teach the true strength of homophily.

Final picks. Kaggle scores the better of two selected submissions on the private 70%:

- **Pick 1:** the final model (0.97196), which `e1304439.ipynb` reproduces exactly.
- **Pick 2:** the same model with stage 2 pruned to 151 features (0.97176). It ties on score, is about three times steadier across random seeds, and uses a different feature set, so it hedges pick 1 better than near-identical variants.

3. Results and discussion

The final model reaches a public ROC-AUC of **0.97196**, +0.028 over the tuned non-graph LightGBM (0.94417) and +0.030 over the first submission (Figure 2). The gain came in a few steps that each added new information: neighbour stacking (+0.0097), recency weighting (+0.0065), neighbour features (+0.005) and two-hop context (+0.0033). Later refinements each moved the score by less than one public standard error (0.0077). Two-hop context mattered more on test than locally because it reaches 21.8% of test rows with no labeled neighbour, against 14.3% in training (Figure 1). For investigators, the graph model ranks illicit transactions more cleanly: catching 95% of them costs 5.1% and 1.8% false alarms among flagged transactions, against 8.3% and 6.0% without graph features (Table 2). The ranking is also stable: tripling the seeds or changing the recency half-life by 50% barely changes it (Spearman $\rho \geq 0.998$).

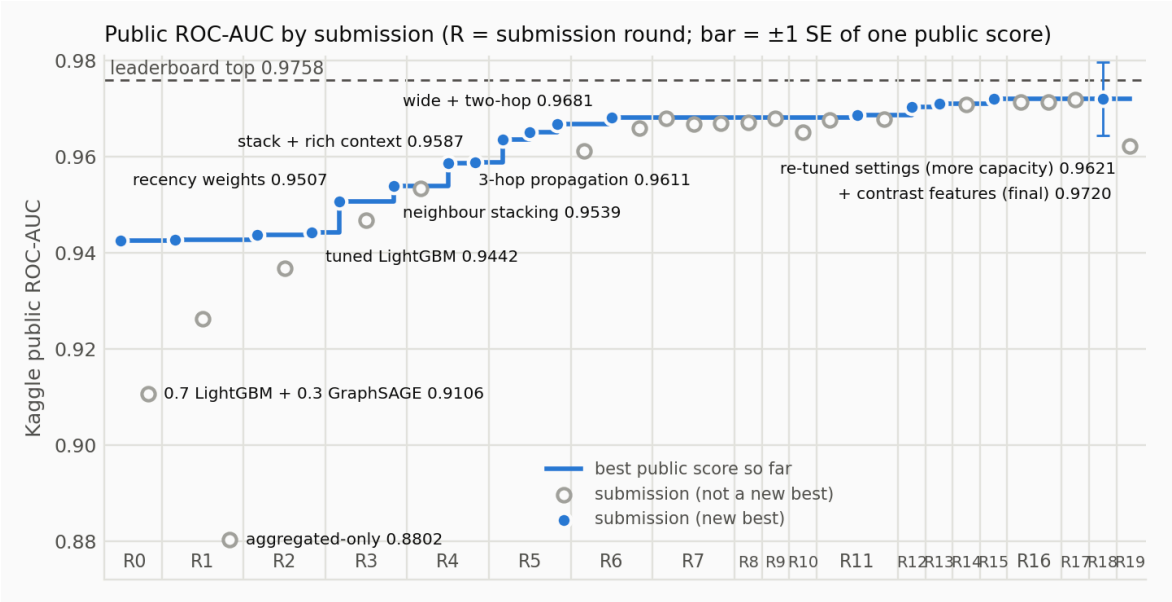


Figure 2. Public ROC-AUC of every submission. The best-so-far line rises only when new, label-consistent information is added; the ±1 SE bar (0.0077, about 270 illicit public rows) shows that the final gap to the leader is within noise.

Table 2. Final model vs the non-graph base learner on the two validation windows whose ranking matched Kaggle (3 seeds). P = precision. Validation windows are about 18% illicit, so operating points adapt to prevalence.

Window (illicit / rows)	Model	ROC-AUC	PR-AUC	P = recall at k = #illicit	P at 95% recall	Best F1
train ≤25 → 26–35 (1,307 / 7,035)	non-graph	0.9954	0.9820	0.941	0.917	0.942
	final	**0.9969**	**0.9891**	**0.949**	**0.949**	**0.951**
train ≤28 → 29–35 (1,102 / 6,028)	non-graph	0.9960	0.9809	0.946	0.940	0.947
	final	**0.9986**	**0.9946**	**0.968**	**0.982**	**0.970**

Limitations.

- **Local validation could not imitate the test period.** The drift and blank neighbourhoods appear only after step 35, so graph models looked worse locally but better on Kaggle, and close decisions relied on the public leaderboard.
- **The public leaderboard is small and noisy.** With about 270 illicit transactions, one score varies by about ±0.008 by chance, and the best of about 30 submissions is probably slightly lucky. Testing one idea per submission, with a pass mark set in advance, kept this bias small.
- **A validation proxy only holds for similar models.** Settings re-tuned on the recent window gained there and on a second untouched window, yet scored 0.96207 on Kaggle (−0.010). The gain came from ordering transactions *between* time steps, which did not survive the shift after step 35; the long windows and the model's over-confidence were the warning signs.
- Anonymised features prevent a domain explanation, and hidden test labels prevent analysing any regime change within steps 36–49.

4. Conclusion and reflection

The main lesson of this project is that **how information is made available matters more than model complexity.** A shallow LightGBM on the supplied features plateaued at 0.944, and neural graph models and embeddings did worse, because the neighbourhoods they learned from in training are blank at test time. Restricting graph features to labeled neighbours, the information that genuinely exists at prediction time, turned the graph from a liability into the largest source of gain, and recency weighting, out-of-fold stacking and testing one idea at a time made those gains reliable.

The main weakness was validation. No local window imitated the test period, so close calls depended on the public leaderboard. The most recent window ranked similar models like Kaggle, but re-tuning on it overfitted the near future and cost 0.010 AUC: shallow, regularised trees suit a distant, drifting test period. With more time, I would build validation windows that hide labels inside the validation period to mimic the test regime, and require any large change to be supported by more than one kind of evidence.

More broadly, a fraud-detection feature is only as good as its availability in production. Computing every feature from the same information at training and prediction time, the discipline that prevented leakage here, is also what keeps a deployed anti-money-laundering model honest.

References. Ke et al. (2017), *LightGBM*, NeurIPS. Akiba et al. (2019), *Optuna*, KDD. Lu & Getoor (2003), *Link-based Classification*, ICML. Hanley & McNeil (1982), *The meaning and use of the area under a ROC curve*, Radiology. Shimodaira (2000), *Improving predictive inference under covariate shift*, J. Stat. Planning and Inference.